Chapter 20

Answers & Explanations to Practice Exam 2

Congratulations! You've just completed the second exam (unless you're just randomly flipping through the book). After grading both the first and second exams, you should have an idea of where you stand regarding the SIE exam. Kudos if you did really well on both practice exams.

As with the first exam, review all the questions that you got wrong and the ones you struggled with. Test yourself again by answering all the questions you highlighted and the questions you answered incorrectly, and make sure you get them right this time! Please give yourself a few days to a week before taking the same test again. Memorizing answers can give you a false sense of security, and you won't get an accurate forecast of how well you'll do on the SIE exam (you certainly don't want your score to be as unpredictable as the weather). I encourage you to take as many SIE practice exams as possible (there will be more available online). I could only cover so many potential practice test questions in this book. Make sure you have a good handle on *every-thing* in the book, even if you didn't see it in the practice tests. FINRA's test banks have thousands of questions and the test will spit them out randomly, so be prepared.

If you're short on time but just can't wait to see how well you did, you can check out the abbreviated answer key (without the explanations) at the end of this chapter. I explain how the SIE is scored in the section

"Knowing the Score," just before the answer key. But I strongly suggest you come back later and do a more thorough review.

1. **A.** (Chapter 5) Another primary issue of shares would dilute Mark's ownership because new shares would be coming to the market. Don't forget that when a corporation issues stock dividends, splits its stock, or makes a secondary offering, the percent of equity does not change.
2. **A.** (Chapter 16) You can accept the trade and mark it as unsolicited. Even if a customer wants to purchase a security that doesn't fit his investment profile, you can still accept it in most cases by marking it as unsolicited. I call this the CYD (cover your derriere) rule. As long as you mark the ticket as unsolicited, you save yourself some aggravation (and maybe arbitration) if Mike loses money on the deal.
3. **C.** (Chapter 7) T-strips or Treasury receipts are long-term zero-coupon bonds backed by the full faith and credit of the U.S. government. Zero-coupon bonds are ideal investments to plan for future events because investors don't face reinvestment risk. In addition, the purchase price for long-term zero-coupon bonds is comparatively low.
4. **A.** (Chapter 8) The SIE examiners want to see that you can distinguish revenue bonds from general obligation bonds. In this question, Choice (A) is the correct answer. Revenue bonds are backed by a project's earning capacity. Choices (B), (C), and (D) are incorrect because revenue bonds are not secured by a specific pledge of property, are not a type of general obligation bond, and are not subject to debt limitations the way that many general obligation bonds are.
5. **A.** (Chapter 13) When you look at a corporation's balance sheet, the left-hand side lists all the assets and the right-hand side lists all the liabilities plus the shareholders' equity. The left side and the right side balance out (equal the same amount of money).
6. **C.** (Chapter 15) Dividends are profits shared by corporations. Dividends can be taxed as either qualified (up to a maximum rate

of 15 percent) or nonqualified (according to the investor's tax bracket). In order for the dividends to be qualified, the investor must have held onto the stock for at least 61 days. The 61-day holding period starts 60 days prior to the ex-dividend date.

7. **B.** (Chapter 8) An official statement includes all relevant information about a new municipal bond. Municipal bonds don't have a prospectus, but an official statement is along the same lines. An official statement gives information about the municipal issue, such as the reason the bonds are being issued, what revenues are going to be used to pay the bonds, the issuer's payment history, and so forth. A tombstone ad is a brief advertisement that does not go into detail about the security being issued, and a registration statement is used by corporations when they are filing with the SEC.
8. **D.** (Chapter 16) This question is a double negative ("not prohibited"), so it's asking which statement a registered representative can make. The answer is pretty much a matter of logic. Choices (A), (B), and (C) are all guarantees. A registered rep who makes guarantees may get into trouble. However, Choice (D) is not a guarantee and may be said to an investor as long as it's true.
9. **A.** (Chapter 15) The main difference between traditional IRAs and Roth IRAs is the tax implications. Contributions to traditional IRAs are made from pretax dollars (you can write them off on your taxes), whereas contributions to Roth IRAs are made from after-tax dollars (you can't write them off on your taxes). However, distributions (withdrawals) from traditional IRAs are taxed on the amount above contribution, whereas withdrawals from Roth IRAs are tax-free. When withdrawing from a Roth IRA, neither the amount invested, which was already taxed, nor the amount the account has gone up in value (appreciation) is taxed, which is a great benefit to Roth IRA holders.
10. **D.** (Chapter 16) All firms must now have business continuity and disaster recovery plans to be prepared in the event of a significant disruption in their business. These plans must be in written form, be approved by a principal, and address the following information:
    1. The existence of back-up data

2. A means of alternative communication between a firm and its employees, customers, and regulators
3. The creation of an alternative location for all employees
4. A means of giving customers fast access to their securities and funds

11. **C.** (Chapter 9) Certainly all the choices listed are important, but the most important one is the investment objectives of the mutual fund. In other words, you need to know whether the investor is looking for a growth fund, an income fund, a municipal bond fund, an international fund, and so on. When comparing funds with the same investment objectives, all the other things, such as comparing management fees, whether the fund is load or no-load, and so on, come into play.
12. **A.** (Chapter 6) Common stockholders may cast votes for candidates to be members of the board of directors; therefore, Choice (A) is the correct answer. Choice (B) is incorrect because while common stockholders may vote on important issues that affect the welfare of the corporation, they do not have voting rights on the day-to-day operations of the corporation, like buying office supplies. Choice (C) is incorrect because a stockholder doesn't receive interest payments, bondholders do. Finally, Choice (D) is incorrect because a common stockholder's initial investment can be lost if a corporation fails; therefore, par value is not guaranteed.
13. **A.** (Chapter 9) The clues in this question are that the investor is 21 years old, has limited resources, and would like to start investing on a regular basis. This investor is screaming out to be put in a mutual fund. Typically, investors of mutual funds are in it for the long haul; they're not in and out like they may be with other investments. Ideally, this investor should probably be set up on a dollar cost averaging plan whereby he invests *x* amount of dollars every so often (for instance, once a month). Because this investor is young, he can take a little more risk, so a growth fund would be ideal. DPPs, buying call options, and hedge funds are too risky, require too much money, and/or require a certain degree of sophistication.

14. **C.** (Chapter 16) Lawyers, accountants, teachers, and engineers are not advisors unless they're offering advice outside of their job descriptions. In Choice (A), the lawyer is a securities attorney. In Choice (B), the teacher is an economics professor. A registered rep of a brokerage firm must become licensed as an advisor or advisor representative to be able to offer advice for a fee. In most cases, registered reps may only be paid for executing trades.
15. **B.** (Chapter 8) The answer is Choice (B). Choices (A), (C), and (D) are incorrect. Revenue bonds are generally considered low-risk because they're issued by municipalities. The riskiest municipal bonds are IDRs (industrial development revenue bonds), which are backed by a corporation, not the municipality.
16. **D.** (Chapter 16) When a client receives a trade confirmation (receipt of trade), the confirmation must show the trade date, settlement date, the name of the security, how many shares were traded, whether the broker-dealer acted as an agent or principal, and the amount of commission if traded on an agency basis.
17. **B.** (Chapter 12) The correct answer is Choice (B) because when Jessica grants her registered representative a limited power of attorney, she is the one who must sign the document. Although a principal must approve before the registered representative exercises his discretionary authority, the registered representative does not have to sign the document, and Jessica's approval of each order is not required.
18. **B.** (Chapter 10) Real estate investment trusts pass through income earned by the real-estate investments, but not losses. Real-estate limited partnerships pass through income and losses to investors because DPPs aren't responsible for paying business taxes.
19. **D.** (Chapter 16) I hope this was an easy one for you. Principals must approve all new accounts and must sign all new account forms.
20. **B.** (Chapter 12) Because George is borrowing money through a margin account to purchase securities, he must leave the stock in the broker-dealer's safekeeping, pay interest on the loan, register the stock in street name, and agree to allow the broker-dealer to pledge the securities because he signed a loan consent agreement.

21. **B.** (Chapter 9) Variable life insurance policies often have a rider or statement of condition that allows individuals to keep their policy in force if they become disabled. This waiver of premium forgives policyholders of paying additional premiums if they become totally disabled.
22. **D.** (Chapter 12) Certainly just about anything you can think of could change a client's investment objectives. As people get older, they usually can't take as much risk. Conversely, investors who get higher-paying jobs are likely to want to take additional risk. Someone who is getting (or has gotten) divorced is likely to have less money (due to alimony payments, one person paying for the house instead of two, child support payments, and so on). Obviously, having triplets puts a financial burden on an investor (unless she gets a reality show).
23. **A.** (Chapter 6) Remember, the ex-dividend date (the first day the stock trades without the dividend) is two business days before the record date. In this case, the record date is Thursday, September 14, which makes the ex-dividend date Tuesday, September 12. The opening price on the ex-dividend date is reduced by the amount of the dividend ($0.40 in this case).
24. **D.** (Chapter 8) When you purchase a municipal bond issued within your home state, the interest you receive is triple tax-free (exempt from federal, state, and local taxes). In addition, if you purchase a bond issued by a U.S. territory (such as Puerto Rico, U.S. Virgin Islands, Guam, Samoa, and Washington, D.C.), the interest is triple-tax free. However, if you purchase a bond issued by another state, the interest is exempt from federal taxes only.
25. **A.** (Chapter 12) The correct answer is Choice (A). All taxes on the account are the responsibility of the minor because the UGMA account was opened for the benefit of the minor and the account is registered with the minor's Social Security number.
26. **A.** (Chapter 10) Of the choices listed, a real-estate partnership that invests in raw land is the riskiest. Partnerships that invest in raw land are considered speculative, as are oil and gas wildcatting programs. The risk of investing in raw land is that even though the

property is purchased at a low price, developers may not be interested in that area and the partnership may be stuck with relatively worthless property.

27. **D.** (Chapter 6) Hopefully the word "transfer" in "transfer agent" led you to the correct answer. Yes, the transfer agent is responsible for transferring or sending things. Typically, the transfer agent is responsible for sending out proxies (voting by mail), cancelling old shares and sending out new shares, distributing dividends, and so on.
28. **A.** (Chapter 5) The final offering price would not be found on the preliminary prospectus (red herring) because the price hasn't been finalized at this point. After the issuer and the syndicate manager come up with a final offering price, they place it on the final prospectus.
29. **B.** (Chapter 16) When determining whether a broker-dealer has to file a currency transaction report (CTR), you need to look at the size of the trade first. Any cash or cash-equivalent (for example, a money order) transaction of $10,000 or more requires that you file a CTR to FinCEN (the U.S. Treasury Financial Crimes Network) to determine whether it may be money laundering. In Choice (B), the investor is depositing $14,000 in cash, which is over the $10,000 threshold. In addition, an SAR (Suspicious Activity Report) must be filed for any transaction of $5,000 or more for any trade or transfer that just looks suspicious.
30. **C.** (Chapter 9) To determine the sales charge percentage of a fund, use the following equation:

$$\text{Sales charge \%} = \frac{\text{POP} - \text{NAV}}{\text{POP}} = \frac{\$10.00 - \$9.30}{\$10.00} = \frac{\$0.70}{\$10.00} = 7\%$$

    The POP is the public offering price, which is the price that investors pay, including the sales charge. The NAV is the net asset value and is where the fund should be trading, excluding the sales charge.
31. **A.** (Chapter 13) The correct answer is Choice (A). Historically, precious metals, like gold, are counter-cyclical and move opposite of the economic cycles. Choices (B), (C), and (D) are incorrect because

utility, pharmaceutical, and food companies are defensive or non-cyclical, and their movement isn't tied to the economic cycle.

32. **C.** (Chapter 8) On a competitive bid for a new municipal underwriting, the difference between the bid to the issuer and the dollar price at which the underwriter reoffers the bonds to the public is the spread, which, importantly, is also the underwriter's compensation.
33. **B.** (Chapter 16) Remember, when a customer opens a cash account, the only signatures that are required are that of the registered rep and a principal of the firm. However, if a customer were to open up a margin account, she'd have to sign a margin agreement.
34. **A.** (Chapter 14) Sell stop orders are used for protection. A sell stop order is placed below the support level of the stock and limits the loss on a long position. For argument's sake, say that a stock has a trading range of 30 to 32. An investor may enter a sell stop order at 29.50 to protect herself if the stock drops to 29.50 or below. If the price of the stock hits 29.50, the sell stop order becomes a market order for immediate execution at the next available price.
35. **B.** (Chapter 7) The *indenture* (trust indenture or deed of trust) of a bond is a legal contract between the issuer and the trustee representing the investors. The bond indenture includes the coupon rate (nominal yield), the maturity date, the name of the trustee, collateral that may be backing the bond, and so on. However, the credit rating isn't found on the indenture because that's something that would change if the financial condition of the issuer changes.
36. **C.** (Chapter 10) The certificate of limited partnership is the legal agreement between the limited and general partners and has to be filed with the secretary of state. The certificate of limited partnership includes the name of the partnership, the partnership's primary place of business, the names and addresses of the limited and general partners, the goals of the partnership and how long it's expected to last, the amount contributed by each partner, how the profits are to be distributed, the roles of the participants, how the partnership can be dissolved, and whether a limited partner can sell or assign his interest in the partnership. The authority that al-

lows the general partner to charge a fee for making management decisions is found in the partnership agreement.

37. **A.** (Chapter 6) The correct answer is Choice (A). Because warrants are basically long-term options to buy stock at a fixed price from the issuer, they can't pay dividends.
38. **B.** (Chapter 10) Choice (B) is the correct answer because three components are true about a REIT. As indicated by its acronym, a REIT is a real estate investment trust. REITs engage in real-estate activities and are organized as trusts. In order to qualify for favorable tax treatment, a REIT must pass through at least 90 percent of its net investment income to its shareholders. Statement IV is false because, although a REIT can pass through income to investors, it can't pass through losses.
39. **D.** (Chapter 11) The easiest way to calculate the break-even point for stock/option problems is to take a look at what's happening. This investor purchased the stock for $45 per share and then purchased the option for $6 per share. The investor paid $51 ($45 + $6) per share out of pocket, so the investor needs the stock to be at $51 per share in order to break even.
40. **D.** (Chapter 5) All the securities listed are exempt from the registration and disclosure provisions under the Securities Act of 1933.
41. **B.** (Chapter 10) Investors of limited partnerships bear additional risks, such as the possibility of money being tied up for a long period of time, little or no liquidity, the making of additional loans to the partnership, and so on. As a registered rep, you need to prescreen your customers to see whether they're a good match for the partnership. You should also look at the partnership and management itself to see whether they have a good track record and whether the partnership makes sense. You need to explain the risks to your customer and have your customer fill out a subscription agreement, not a partnership agreement. The subscription agreement needs to include a check, a signature giving the general partner power of attorney, financial statements, and so on.
42. **C.** (Chapter 9) Life-cycle funds are ideal for investors of any age. The idea behind them is that investors buy into life-cycle funds that

are targeted for their age. The percentage of equities held by the fund decreases over time, whereas the percentage of fixed-income securities increases, because investors should hold a higher percentage of fixed-income securities as they age. For example, say a 45-year-old investor buys into a life-cycle fund that's targeted for investors who are currently between the ages of 44–47. At this particular point, the fund may have a nearly 50-50 split between equity securities and fixed-income securities. The fund rebalances every so often so that ten years into the future, the fund may have 40 percent invested in equity securities and 60 percent invested in fixed-income securities. Ten years after that, the fund may have a 30-70 split between equity and fixed-income securities. This fund is designed to take the guesswork out of the equation for investors.

43. **A.** (Chapter 14) An *IPO* (initial public offering) is the first time a corporation ever sells securities to the public. A first-market trade is a trade of exchange-listed securities trading on an exchange. A rights offering is when a company offers new shares to existing shareholders at a discount.
44. **C.** (Chapter 13) When someone is bearish on the market or an individual security, she believes that the price is going down. Investors who believe that they can capitalize on their bearish feelings can sell securities short, buy bearish funds (ones that generally increase in value in a declining market), purchase inverse ETFs (exchange-traded funds), sell uncovered (naked) options, buy put options, and so on.
45. **B.** (Chapter 13) Defensive stocks perform consistently no matter how poorly the economy's doing. Stock of corporations that sell goods such as alcohol, tobacco, pharmaceutical supplies, food, and so on issue defensive stocks. However, companies that sell appliances, automobiles, and so on aren't defensive because they sell items that don't sell well in a weak economy.
46. **A.** (Chapter 16) The broker-dealer must send out account statements at least once every three months (quarterly) for an inactive account. If there has been any activity during a particular month, the brokerage firm must send out an account statement that

month. Mutual funds must send out account statements once every six months (semiannually).

47. **D.** (Chapter 14) Here's another question where you must find the false answer. Choices (A), (B), and (C) are wrong because only orders placed below the market price are reduced for cash dividends on the order book. Buy limits and sell stops (BLiSS orders) are entered below the market price. Buy stops are entered above the market price, so Choice (D) is the false — and therefore, correct — answer.
48. **D.** (Chapter 8) Because this is an "except" question, you must find the false answer. The correct answer is Choice (D). Even if you didn't know what the "dated date" was, you should know that the rating (the higher the better), the interest received (the more the better), and the maturity date (the shorter the more marketable) affect a bond's marketability. The dated date of a bond issue is the date on which the issue begins to earn interest, which has little impact on marketability of a bond.
49. **C.** (Chapter 9) Similar to variable annuities, variable life insurance policies have a separate account of securities. All variable life insurance (VLI) policies have a set premium and a minimum death benefit. However, if the securities held in the separate account perform well, the policy will build up cash value, which will increase the death benefit.
50. **B.** (Chapter 12) Certainly, all the choices listed are important when determining a client's investment profile. However, this is an "except" question, which means that you're looking for an investment influence that is financial. The amount of marketable securities an investor owns is part of her financial profile as well as other things like net worth, money available for investing, current income, expenses, home ownership, and so on.
51. **C.** (Chapter 8) The interest received on municipal bonds is federally tax-free. Because Ginny is in the highest income tax bracket, she can save more tax money by investing in municipal bonds. This strategy will put her on equal footing with other investors because neither high-income nor low-income investors have to pay taxes on

the interest received from municipal bonds. Therefore, municipal bonds are more advantageous to investors in high income-tax brackets.

52. **C.** (Chapter 7) Mortgage bonds, collateral trusts, and equipment trusts are all forms of secured bonds. Because these bonds are secured with collateral, the collateral securing the bonds is sold to satisfy the bondholders if the issuer defaults. However, debentures are not backed with collateral and are therefore riskier. Because more risk equals more reward, debenture holders can expect a coupon rate that's higher than that of the secured bonds.
53. **D.** (Chapter 7) Of the answer choices given, Choice (D) is the least preferable and, therefore, the correct answer. AA rated bonds, U.S. treasury notes, and AA rated debentures can yield predictable income. By contrast, income bonds are issued when a corporation is coming out of bankruptcy and trying to reorganize. Therefore, income bonds only pay interest if the corporation can meet the interest payment and normally trade without accrued interest. Income bonds are not suitable for Dana because she's seeking predictable income.
54. **C.** (Chapter 9) Although international funds may be okay to help diversify a portfolio, they're certainly the riskiest of all the choices given. International funds invest in securities outside of the investor's home country. International funds have additional risks that many other securities don't have, such as currency risk (the risk that the currency exchange rate will be bad). Also, the investor faces political risk (the risk that political changes in a country may adversely affect the price of securities). You should definitely steer this investor away from international funds.
55. **A.** (Chapter 11) The OCC (Options Clearing Corporation) is the issuer and guarantor of all listed options. The OCC determines which options will be traded and guarantees that option holders can always exercise their options.
56. **C.** (Chapter 9) Dividends that are distributed by municipal bond funds are federally tax-free, but any capital gain distribution is taxable. Choice (C) is the right answer.

57. **C.** (Chapter 8) Hopefully, the "G" in "GANs" was enough to help you get the correct answer. GANs are *grant anticipation notes,* which a municipality issues to provide temporary financing while waiting for a grant from the U.S. government.
58. **C.** (Chapter 13) To determine the net worth of a company, use the following equation:
    1. net worth = assets – liabilities
    2. net worth = $11,500,000 – $3,350,000 = $8,150,000
59. **D.** (Chapter 12) *Portfolio margin* looks at the risk of an investor's portfolio as a whole when determining margin requirements. Portfolio margin allows investors greater leverage but is only available to more sophisticated investors, and those investors must keep a minimum equity in their account of around $150,000.
60. **A.** (Chapter 7) The correct answer is Choice (A) because issuers call bonds when interest rates are falling. Choice (B) is incorrect because after the notes are called, new bonds at the lower rate are issued to raise funds in order to call the outstanding bonds with the higher rate. Choice (D) is incorrect because municipal bond call provisions are advantageous to issuers; the call provisions reduce fixed costs by providing issuers with the ability to redeem bonds before maturity.
61. **B.** (Chapter 16) All written complaints need to be handled by a principal and kept on file. Even though the complaint was sent via email, it's still considered a written complaint. The complaint does not need to be forwarded or sent to FINRA.
62. **A.** (Chapter 5) All securities sold in a state must be registered in that state (also known as blue-sky registration). Coordination, qualification, and notification (filing) are all types of state registration; registration by cooperation is not. If an agent wants to sell in a state, the security, the registered rep, and the broker-dealer must be registered in that state.
63. **B.** (Chapter 11) The easiest way to figure out the answer to this question is to use the equation P = I + T, where
    1. P = the Premium of the option

2. I = the Intrinsic value of the option (how much it is in the money)
3. T = the Time value of the option (how much the investor is paying for the time to use the option)

$$P = I + T$$
$$9 = 5 + T$$
$$T = 4$$

First, put the premium of 9 into the equation. Next, because the option is 5 points in the money (call options go in the money when the price of the stock goes above the strike price), insert the intrinsic value of 5 in the equation. Because the premium is 9 and the option is 5 points in the money, the time value is 4.

64. **B.** (Chapter 16) Principals of a firm must approve all new accounts, advertising used by the firm, handling of complaints, trades in all accounts, and so on. However, as far as the SIE exam goes, principals don't need to approve recommendations made by registered reps. In real life, I would get approval before making recommendations if I were you. You have to remember that principals must sign all order tickets, and if you don't clear a recommendation with them first, they may be reluctant to do so.
65. **C.** (Chapter 8) LRBs (lease revenue bonds) are similar to IDRs (industrial development revenue bonds), but instead of the bonds being backed by corporations, they're backed by lease payments made by office buildings, universities, prisons, and so forth. LTGOs (limited tax general obligation bonds) are a type of GO (general obligation) bond that's backed by taxes that aren't used to back other bonds. BABs (build America bonds) are taxable municipal bonds in which the U.S. Treasury either reimburses the issuer or gives a tax credit to investors for up to 35 percent of the interest cost.
66. **D.** (Chapter 8) Remember that an "except" question is looking for a false answer. The correct answer is Choice (D). Taxable equivalent yields cannot be shown because every investor has a unique tax issue and bracket.

67. **A.** (Chapter 16) Under FINRA rules, the representative should execute the trade in accordance with the customer's request and note on the trade ticket that the order was unsolicited.
68. **A.** (Chapter 7) Money market securities are short-term debt securities. Remember that commercial paper, as well as negotiable certificates of deposit, are money market securities.
69. **B.** (Chapter 10) Any income derived from an investment in a limited partnership is termed passive. Passive gains can only be written off against passive losses. Earned income includes money made from salary, bonuses, tips, and so on. Portfolio income includes money made from interest, dividends, and capital gains made from investing in securities.
70. **C.** (Chapter 10) The primary reason for investing in undeveloped land is appreciation potential. People who invest in undeveloped land either privately or by way of a real-estate DPP are hoping that their land will be of more value sometime in the near future.
71. **A.** (Chapter 6) After the split, stockholders are going to have 5 shares for every 4 that they had before. If the number of shares is going to increase, the price of the stock is going to decrease to make up for the additional shares. After the split, the investor should have the same overall market value of securities. Use the following equation to determine the number of shares and the stock price after a split:

$$\begin{aligned} \text{LMV} - \text{DR} &= \text{EQ} \\ \$30{,}000 - \$12{,}000 &= \$18{,}000 \\ \text{Reg T} \times \text{LMV} &= \underline{\$15{,}000} \\ & \quad \$3{,}000 \text{ excess equity} \end{aligned}$$

72. **D.** (Chapter 13) The correct answer is Choice (D) because controlling the money supply implies a hands-on approach that's referred to as the *monetarist theory*. Choice (A) is incorrect because, although the Federal Reserve Board (FRB) controls the money supply, it isn't not an economic theory. Choice (B) is incorrect because the *Keynesian theory* is about big (some say stifling) government intervention; it's more about raising taxes and government control over businesses. Choice (C) is incorrect because the *supply-side economic*

theory calls for low taxes and low government spending to stabilize the economy.

73. **C.** (Chapter 7) Commercial paper is generally issued for the purpose of raising capital for a corporation. Choice (A) is incorrect because commercial instruments are not quoted as a percent of par. Choice (B) is incorrect because a commercial instrument is proof of a debt, not ownership. Choice (D) is incorrect because commercial instruments are a debt security; therefore, if a claim is filed against the issuing corporation, the commercial instrument holds a senior position to preferred stock.
74. **D.** (Chapter 9) A specialized or *sector* fund invests within a single industry or geographical area.
75. **D.** (Chapter 15) Withdrawals from a Roth IRA may begin any time after the investor reaches age 59½. However, there's no required beginning date (RBD) or required minimum distribution (RMD) for Roth IRAs like there is for other retirement plans. You need to remember that the money withdrawn from a Roth IRA is tax-free, so the IRS doesn't care when these investors take their money because it isn't getting any of it.

Knowing the Score

Here's how the SIE exam is scored:

- You get 1⅓ points for each correct answer.
- You get zero points for each incorrect answer.

A passing grade is 70 percent. In other words, you need at least 53 correct answers on each practice test to get one step closer to your Nobel Prize in stockbrokerage (okay, economics).

To calculate your score, multiply the number of correct answers by 1.33 or divide it by 75. Whatever grade you get, make sure you round down, not up. For example, a grade of 71.6 is a 71 percent, not a 72.

Answer Key for Practice Exam 2

1. **A**
2. **A**
3. **C**
4. **A**
5. **A**
6. **C**
7. **B**
8. **D**
9. **A**
10. **D**
11. **C**
12. **A**
13. **A**
14. **C**
15. **B**
16. **D**
17. **B**
18. **B**
19. **D**
20. **B**
21. **B**
22. **D**
23. **A**
24. **D**
25. **A**
26. **A**
27. **D**
28. **A**
29. **B**
30. **C**
31. **A**
32. **C**
33. **B**

34. **A**
35. **B**
36. **C**
37. **A**
38. **B**
39. **D**
40. **D**
41. **B**
42. **C**
43. **A**
44. **C**
45. **B**
46. **A**
47. **D**
48. **D**
49. **C**
50. **B**
51. **C**
52. **C**
53. **D**
54. **C**
55. **A**
56. **C**
57. **C**
58. **C**
59. **D**
60. **A**
61. **B**
62. **A**
63. **B**
64. **B**
65. **C**
66. **D**
67. **A**
68. **A**

69. **B**
70. **C**
71. **A**
72. **D**
73. **C**
74. **D**
75. **D**